



▲ **This M 4-6-0 steam locomotive** ran on the metre-gauge Jodhpur–Bikaner railway line that began operations in 1882.

Legislative confusions

In 1884, the Parliamentary Select Committee made recommendations on the railway construction policy in India, which resulted in a complicated variety of railway workings and owning agencies. Often, the Government made contradictory arrangements based on competition among various administrations within the Government, the restrictions on sterling pay-outs, and the politically strategic importance of the railway lines, to name a few. The *laissez-faire* unleashed by such guidelines led to severe financial stress on the Government, which it had wanted to avoid all along. By 1886, the skyrocketing guarantee liabilities led to the serious possibility of imposing fresh taxation. Instead, as a last resort, the Government halted assistance to all private enterprises that were using off-shore finance.

Local investors